

The then Prime Minister Shinzo Abe visited India in August 2007, accompanied by more than 175 top business leaders from Japan.

Dr. Singh's previous visit in December 2006 was a historic one as he signed a Joint Statement on Global and Strategic Partnership with Prime Minister Abe.

India's Ambassador to Japan, Mr. H.K. Singh says India-Japan relations have intensified rapidly over the last few years and have entered a qualitatively new phase.

Economic relations are the driving force behind deepening of bilateral relations since 2000. Trade and investments from the both the countries are on the rise. Japan is closely involved in funding infrastructure projects in India, including the showcase Delhi Metro rail project. The Japanese government and companies are taking keen interest in promoting the Delhi-Mumbai Industrial Corridor and the Dedicated Freight Corridor (DFC) Project.

The significance of intensifying the cultural relations between the people of the two countries led to the celebrations of the India-Japan Friendship Year in 2007, which was held to commemorate the 50th anniversary of concluding cultural relations between India and Japan.

During the Friendship Year, the Japanese government launched the JENESYS Program, in which 550 Indian youths will be invited to Japan every five years till 2012. Academic co-operation was initiated at the highest level. The then Prime Minister Abe was accompanied by a high level delegation of Vice-Chancellors of prominent Japanese universities during his visit in August 2007, which held meetings with Vice-Chancellors of prominent Indian universities. Co-operation agreements were signed between the universities and colleges of both the countries.

India's rapid economic growth has caught the attention of Japanese corporates and investors. Though Japanese companies often complain about poor infrastructure, archaic labour laws, complex tax laws and bureaucratic red-tape as major hurdles to setting up manufacturing and business operations in India, many Japanese companies believe that business environment has improved significantly.

Corporate Japan now considers India as a preferred investment destination. Says Maruti Suzuki India Ltd's managing director and CEO, Shinzo Nakanishi, "Red tape in India has come down. I would say it is now 70% lesser than what it used to be sometime back."

Japanese companies have also started making big acquisitions in the Indian market, signifying their comfort of doing business in the country. On June 11 this year, Japan's third largest pharmaceutical company Daiichi Sankyo announced acquisition of a majority stake in Ranbaxy Laboratories Ltd, one of India top pharma companies, for \$4.6 billion (over Rs 19,500 crore).

In 2007, Matsushita Electric Works Ltd, which manufactures Panasonic brand of products, acquired 80 per cent equity stake in Anchor Electricals Pvt Ltd for \$500 million (over Rs 2,100 crore).

Indian companies too have spread their wings in the Japanese market. Top Indian IT companies like Infosys, Wipro, TCS, Satyam and HCL have set up operations in Japan. Lupin Limited acquired a majority stake in Kyowa Pharmaceutical Industry Co. Ltd. (Kyowa), a leading Japanese generics company ranked amongst the top 10 generic companies, in October 2007.

But there is still a long way to go in taking economic and business relations to the level of Japan's economic relations with China. As Japan's Ambassador to India, Mr. Hideaki Domichi, stated soon after assuming office in November 2007, "I wish to point out that the level of our relations still remains only 3 percent that of the Japan-China relations, in terms of trade and investments and when it comes to the level of people-to-people exchanges, lower than 3 percent."

Yet the silver-lining is that the Governments of both the countries are determined to take bilateral and economic relations to the next level.

-Veeshal Bakshi



H.K. SINGH

Ambassador of India

India-Japan relations have been qualitatively transformed in recent years. Shared democratic values, economic complementarities and strategic convergences provide a strong basis for the growth of these relations, which also benefit greatly from mutual public goodwill and bipartisan political support in both countries. India and Japan also share a common vision for regional economic integration, stability and shared prosperity.

India and Japan established a Strategic and Global Partnership in December 2006, which is driven by annual Summits and a supporting structure of multiple, high-level dialogue mechanisms. A Roadmap for realizing this Partnership is under implementation.

The Hon'ble Prime Minister of India, Dr. Manmohan Singh, will be visiting Tokyo for the annual India-Japan Summit on 22-23 October, 2008. The visit will impart continued momentum to bilateral relations. Major outcomes will include the further strengthening of political and security cooperation and the enhancement of economic engagement.

The global economy is facing new challenges, even as Asia is becoming the engine of growth in an interdependent world. India and Japan must draw upon the core strengths of their respective economies to provide stability to domestic markets and maintain global growth.

It is a welcome sign that bilateral economic relations are growing steadily. Trade this year is set to double from 2006 levels to around \$15 billion. Major new investments in India have been announced by Japanese corporates. India's dynamic economy, youthful demographics and large market combine well with Japan's technological prowess, manufacturing skills and financial resources. A high-quality, mutually beneficial Comprehensive Economic Partnership Agreement, which is in an advanced stage of negotiation, will help generate even greater trade and investment flows to realize the full potential of our emerging economic partnership.

Japan plays a key role in the development of India's social and economic infrastructure, of which the Delhi Metro is a shining example. Implementation of new flagship India-Japan infrastructure projects linking Delhi and Mumbai, the Dedicated Freight Corridor (DFC) railway project and the Delhi-Mumbai Industrial Corridor (DMIC) project, is being concretized.

Hon'ble Prime Minister Dr. Manmohan Singh's forthcoming visit to Japan for the annual Summit signifies the growing maturity of bilateral relations and the recognition by both countries that these relations are vital for the progress and prosperity of our peoples in the 21st century, and also for the Asian region and beyond.